

Everyone in the room is afraid of themselves

Looking at VC failures through a Jungian lens

Everyone in venture already knows the stat. Something like 80 to 90 percent of funds never return the fund. The story people tell about why is always the same: consensus investing. Nobody wants to be the partner who backed the contrarian pitch alone, so instead of chasing the asymmetric outlier, the fund quietly drifts into doing what every other fund is doing, and dies slowly instead of dramatically. Everyone nods at that explanation. It's true. It's also not the interesting part.

The interesting part is what's actually generating the fear of judgment in the first place, and once you see it, the whole partner meeting looks different.

Here's the thing most people don't see through. If you're afraid of being judged by another partner for going contrarian, that fear isn't sitting there passively. It's actively making you more likely to judge the next person who's willing to go contrarian. Your own fear needs somewhere to go, and the easiest place to put it is onto the person doing the thing you're afraid to do. So without anyone saying it out loud, an unspoken rule sets in across the table: none of us go contrarian, and we all quietly agree to treat conviction as recklessness. That's not caution. That's a room full of people protecting each other from a mirror.

This is where Jung's idea of projection explains what game theory alone can't. Jung's whole argument was that the traits you can't tolerate in yourself don't disappear, they get exiled, and then you start seeing them everywhere except in yourself. What you can't stand in someone else is usually the thing you've disowned in you. A partner who's sitting on their own buried conviction, their own itch to back the weird founder with no traction, doesn't experience that itch as ambition. They've already learned to treat it as dangerous, so it gets pushed down. Then the moment a colleague actually acts on that same impulse, the buried partner doesn't see courage. They see the exact

thing they were trained to fear in themselves, now walking around in someone else's body, and they react to it like it's a threat, because internally, it is one. The judgment they hand out isn't really about the deal. It's their own unlived conviction, looking back at them, and they're punishing it before it can remind them of what they gave up.

Which means the partner meeting isn't actually a room of independent professionals rationally weighing risk. It's a room of people each carrying their own disowned boldness, watching for it to surface in someone else so they can stamp it out before it makes them feel their own cowardice. Everyone's doing this to everyone else at the same time. Nobody's judging the pitch. They're judging their own reflection and calling it due diligence.

Once everyone in the room is doing this to everyone else at the same time, the partnership forms an unspoken protective pact: I won't expose your cowardice if you don't expose mine. And together, we'll call safe, consensus, oversubscribed Series A rounds “prudent investing.”

You can see the same mechanism in something as small as two strangers at a bar, both wanting to approach each other, neither one moving. Each one tells themselves they're afraid of the other person's rejection. But look closer and the fear isn't really coming from the stranger, it's coming from inside. Each person is carrying their own internal critic, the voice that already thinks they're not enough, and they project that voice onto the stranger's blank expression because it's easier to imagine the judgment is coming from outside than to sit with the fact that it's already inside them. The stranger hasn't done anything yet. Their face is just a screen the projection gets shown on. So both people stay frozen, each one convinced the other is the source of a rejection that hasn't happened and was never really about the other person at all.

That's the exact same stalemate that kills a fund. No partner is actually being judged by the room. Each partner is being judged by their own disowned belief that going against consensus is dangerous, and they're watching that belief play out on every other partner's face instead of recognizing it as their own. The room becomes a hall of

mirrors where everyone's projecting the same fear onto everyone else, and nobody realizes the fear never came from outside the mirror in the first place.

This is also why one strong-willed partner can occasionally break the pattern, and why it looks so disproportionate when it happens. It's not that they found better data or a smarter thesis. It's that their operating narrative was never handed to them by the room, so the room's silent contract doesn't have anything to grab onto. When they back the contrarian pitch, they're not projecting their fear outward and they're not absorbing anyone else's projection either. Which means the mirror the rest of the partnership has been staring into for years suddenly has a crack in it, and for a moment the whole room has to look at what it's actually been avoiding.

Most funds never get that moment. They keep polishing the process, tightening the memo template, adding another layer of diligence, all of it dressed up as rigor. What it's actually doing is giving everyone a more sophisticated way to avoid their own disowned conviction without ever having to name it. The fund doesn't blow up. It doesn't lose a headline deal and collapse in public. It just quietly returns 1x, the LPs stop taking the calls, and everyone involved gets to tell themselves it was the market, or the vintage, or bad luck. Nobody has to admit that a group of smart, capable people spent a decade protecting each other from their own courage, and called it a fund.